DISTRIBUTOR AGREEMENT

THIS DISTRIBUTOR AGREEMENT (the "Agreement") is made and entered into as of March 2, 2025 (the "Effective Date"), by and between:

(1) **Proveedor S.A.**a corporation duly organized and existing under the laws of Spain, with its principal place of business at [Calle Ficticia 123, Madrid, Spain], hereinafter referred to as "THE SUPPLIER"; and
(2) **Distributor Ltd.**, a corporation duly organized and existing under the laws of the United Kingdom, with its principal place of business at [456 Sample Avenue, London, UK], hereinafter referred to as "THE DISTRIBUTOR."

RECITALS

A. **The Supplier's Business.** THE SUPPLIER is engaged in the manufacture and sale of industrial-grade electronic components and related accessories (the "Products"), which may be updated, improved, or replaced with new versions from time to time. THE SUPPLIER may also engage in the sale of additional products, which may be incorporated under this Agreement if THE DISTRIBUTOR exercises its right of first refusal pursuant to Section 7 herein.

B. **Representations.** THE DISTRIBUTOR has represented that it possesses the necessary facilities, personnel, market expertise, and financial capability to promote, distribute, and sell the Products within the defined Territory. In reliance upon such representations, THE SUPPLIER enters into this Agreement. Similarly, THE SUPPLIER represents that it has the necessary production capacity, technical support, and logistical resources to fulfill the obligations set forth herein.

C. **The Distributor's Market Objectives.** THE DISTRIBUTOR desires to establish a market for the Products and distribute them within the designated Territory, including, but not limited to, private and public sector customers, retail chains, industrial manufacturers, educational institutions, municipal entities, and infrastructure projects (the "Market").

D. **Supplier's Appointment.** THE SUPPLIER appoints THE DISTRIBUTOR as its authorized distributor in the Market, subject to the terms and conditions of this Agreement.

NOW, THEREFORE, in consideration of the mutual covenants contained herein, THE PARTIES AGREE as follows:

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1. DEFINITIONS

1.1. **Products**: Industrial electronic components, including but not limited to voltage regulators, sensors, and controllers.
1.2. **Territory**: United Kingdom, Ireland, and Portugal.
1.3. **Initial Term**: Five years commencing on March 2, 2025.
1.4. **Exclusivity**: THE DISTRIBUTOR has exclusive rights to sell the Products in the Territory, provided it purchases a minimum of **10,000 units annually**.
1.5. **Renewal Term**: The Agreement shall automatically renew for successive three-year

terms unless either party provides **six months' written notice** of termination before renewal.
1.6. **Most Favored Nation**: THE SUPPLIER shall not offer better pricing, terms, or incentives to any other distributor within Europe.
1.7. **Non-Compete**: THE DISTRIBUTOR shall not distribute, manufacture, or promote **any competing electronic components** for the duration of this Agreement and for **two years post-termination**.
1.8. **Non-Solicitation of Customers**: THE DISTRIBUTOR shall not solicit, directly or indirectly, any customers of THE SUPPLIER for the sale of similar or competing products for **three years post-termination**.
1.9. **Non-Solicitation of Employees**: Neither party shall attempt to hire or contract employees of the other party for **a period of one year post-termination**.

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2. ESTABLISHMENT OF DISTRIBUTORSHIP

2.1. **Grant and Acceptance.** THE SUPPLIER grants THE DISTRIBUTOR exclusive distribution rights for the Products in the Territory.
2.2. **License Grant.** THE SUPPLIER grants THE DISTRIBUTOR a **non-transferable, revocable license** to use its branding and trademarks for sales purposes.
2.3. **Audit Rights.** THE SUPPLIER shall conduct **bi-annual financial and inventory audits** to ensure compliance with minimum purchase requirements.
2.4. **Revenue/Profit Sharing.** THE DISTRIBUTOR shall pay THE SUPPLIER **5% of net sales revenue** on a quarterly basis.
2.5. **IP Ownership.** THE SUPPLIER retains all **patent, trademark, and copyright rights** over the Products.

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3. PRICING, PAYMENT, AND LIABILITIES

3.1. **Minimum Purchase Commitment.** THE DISTRIBUTOR shall purchase **10,000 units annually**, with at least **2,500 units per quarter**. Failure to meet this requirement results in **a penalty of $20 per unit below target**.
3.2. **Price Restrictions.** THE DISTRIBUTOR shall not sell below the **minimum advertised price (MAP) of $50 per unit**.
3.3. **Cap on Liability.** THE SUPPLIER’s liability shall not exceed **$500,000 per contract year**.
3.4. **Warranty Duration.** THE SUPPLIER provides a **24-month manufacturer warranty** covering defects in materials and workmanship.
3.5. **Insurance Requirements.** THE DISTRIBUTOR shall maintain **$2 million in commercial liability insurance**, listing THE SUPPLIER as an additional insured.

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4. TERMINATION AND POST-TERMINATION OBLIGATIONS

4.1. **Termination for Convenience.** Either party may terminate with **six months written notice**.
4.2. **Change of Control.** If either party undergoes **a merger or acquisition exceeding 50%**

of ownership, the Agreement shall be renegotiated.
4.3. **Anti-Assignment.** Neither party may assign this Agreement without **prior written consent**.
4.4. **Source Code Escrow.** THE SUPPLIER shall deposit **all proprietary software source code into escrow**, ensuring operational continuity in case of termination.
4.5. **Post-Termination Services.** THE DISTRIBUTOR shall continue fulfilling orders placed **up to 90 days post-termination**.

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5. GOVERNING LAW AND DISPUTE RESOLUTION

5.1. This Agreement shall be governed by **English law**.
5.2. Disputes shall first be subject to **mediation**, and if unresolved, referred to **binding arbitration in London, UK**.

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6. SIGNATURES

Signed for and on behalf of **THE SUPPLIER**:
[Representative Name]
Position: [Title]
Date: March 2, 2025

Signed for and on behalf of **THE DISTRIBUTOR**:
[Representative Name]
Position: [Title]
Date: March 2, 2025